

(18) 4/24 Market Cipher Trading Strategy | Win Every Trade | Step By Step Guide - YouTube

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Transcript:

(00:00) all right y'all are you new to market cipher are you new to trading do you want to win every single trade you enter you've come to the right video all right now i was kind of joking but i'm actually not really joking this video is going to be the definitive guide to my four hour 24 minute strategy which i have been using and many other people have been using to win essentially every single trade that they enter and i know that sounds fantastic but if you take this strategy that i'm about to lay out for you and go and back test it you will see for

(00:37) yourself that it is on the money so the reason i'm making this video this is actually a follow-up video i made a video a few weeks ago outlining this strategy and in hindsight i realized that i didn't do a good job communicating clearly the things that you need to look for before you enter a trade and i'm getting so many questions and they're all the same questions people are asking you know do i wait for this do i look for that what about the money flow so what i'm going to do in this video is i'm going to break it down as clearly as

(01:06) i possibly can and i'm just going to give you guys some things that you can write down so you can have a little list of rules for yourself while you're trading so that you don't end up in bad trades and so you end up in the best trades possible because we're all in this for the same reason right which is to make money so we are going to be trading on two time frames the four hour time frame and the 24 minute time frame if you don't know how to get the 24 minute time frame here's what you're going to do in trading view

(01:38) right here where the different time frames are you're going to pull this drop down menu and way at the bottom you get to add custom time frames you can do custom minutes months weeks days whatever you're going to put in 24 and then click the add button right here oops you can click the add button right here if you star these right if i star the 24 minute it will add it in a little button somewhere up here i'm pretty sure actually i don't see it now but um let's see yeah yep see if you star a time frame it'll put it up here so that you can

(02:17) easily switch between time frames so if i started four hour and i started 24 now they're right up here i don't have to pull the drop down i can just click between the two and we are going to be using two indicators for this trading strategy we are going to be using market cipher this is the most important indicator market cipher and we're going to be using an indicator called wolfpack id wolfpack id you can just search for this in trading view it is a free indicator these are the um the two indicators that we're going to be using we're also going

(02:53) to be using market cipher a little bit i'll get into that more so here's the outline for the video basically i'm going to tell you guys the five confirmations we need to look for before we enter a trade and then i'm going to talk about stop losses i'm going to talk about take profits i'm going to answer some questions that a lot of people have been asking me okay so if you want to start trading with this strategy the first thing you are going to do is you are going to identify your environment and the reason we're trading with two

(03:24) time frames is because we have an environmental time frame and an execution time frame crypto phase always talks about identifying your environment if you're going to be entering a trade you need to know what's happening on the macro

scale and on the smaller scale i find that the four-hour chart is great for identifying your environment because it's big enough to let you know what's happening like on the daily time frame and it's small enough to let you know what's happening on maybe the hourly time frame it gives you a great middle of the road

(03:55) picture of the markets so you can assess what's happening and it will really help you make a plan to know should i enter a long trade or should i enter a short trade so we look at the four hour time frame to identify our environment and the first place our eyes need to go is to this money flow right here if money flow is thick in the green if it's in the green at all this means that we should be looking to long okay this means we should be looking primarily to long if money flow is in the red it means we should be looking to short primarily

(04:32) but also i'm going to get into this later just because the money flows in the red doesn't mean we cannot long and just because the money flows in the blue doesn't mean we cannot short using this strategy it only means that if we're going to enter a long or short for long term like if i want to enter a long position and hold it for you know a week i would never do that when the money flows in the red i would only ever do that when the money flow is in the green and the same goes for a short as well however it's important to keep

(05:02) in mind you know if we're in a bull market like this is it's never a good idea to enter a long term short because if you end up with your shorts around your ankles everyone's going to laugh at you right because you're in a room full of people and your pants are down now once we identify our environment let's say we have we have identified our environment that we are in the green right here we're gonna we're gonna talk about uh let's say february 5th we've looked at our four-hour timeframe the money flow is in the green so we

(05:39) tell ourselves okay i'm going to be looking to enter a long position because the money flow is in the green now that we've identified our environment are going to look for five confirmations we are going to look for a four hour trigger wave a four hour wolf pack crossover a four a 24 minute anchor wave and trigger wave a 24 minute wolf pack id and a 24 minute money flow cross now i know this seems like a lot but if you follow these steps you will get into those good trades so first let's define these things what is a four

(06:15) hour trigger wave a four hour trigger wave is any green dot that prints on the four hour time frame where it is printing a higher low in general than the last wave that printed now whenever we whenever we see something like this where money flow is in the red and we print a big green dot down here this is considered an anchor wave right it's it cl it forms below this negative 60 line and then every wave that prints after this initial anchor wave is called a trigger wave the way you can identify it as a trigger wave is because it's printing a higher

(07:00) low and you can take a trend line and draw a line that connects these together now i want you guys to notice that if we take this trend line and drag it all the way through to up here in general all of these green dots that print are moving higher and higher and higher and higher above the zero line it doesn't have to be perfect every single time we're looking for the general direction when we're looking at anchors and triggers we're looking for the general direction of market cipher b on the four hour because we can take

(07:36) market cipher b let me remove these these drawings here we can take market cipher b and kind of draw on it like this this is what cryptoface does right he draws on market cipher b so that we can see the overall direction of the market and if you just draw on market cipher b it becomes a predictive tool where you can just

kind of tell where the market is going to move based on outlining these waves look at this as soon as we start to draw on market cipher b and it starts to come down as a whole entity i'm not just looking at

(08:13) individual dots as soon as market cipher b starts to come down as a whole entity where the green waves on the bottom are getting lower and lower and the red waves on the top are getting shorter and shorter this is when we start to come down this is when price starts to come down right we're fair we're actually forming a bearish divergence right here on the four-hour chart where price is coming up and market cipher b is starting to angle down and then we have this big drop here okay so anchor waves and trigger waves

(08:47) don't worry about this as much as the size of the wave and where they print yes that's important but it's the general direction of the market that allows you to tell what's an anchor wave and what's a trigger wave i'm sorry if this is too much detail but i just want to be as clear as possible another thing is if we're the money flows in the red on the four hour and we get a wave that confirms below the 60 with a big green dot this is an extremely powerful anchor wave signal telling us okay we've hit a bottom it's time to really

(09:18) start looking for a long position so when the money flows in the red on the four hour we're looking for a long position and according to my strategy i know people have different strategies but i start looking for a long position when money flow is in the red i don't start to enter a long position until money flow on the four hour has curved into the green or is clearly curving into the green where we can see the direction of market cipher b starting to curve up into the green now i use purple and blue for my money flow

(09:52) right here as you can see but for most people it's red and green so if we see a four hour trigger wave right here where the money flow index is in the green okay it's in the green it's just crossed over into the green this is our first confirmation our second confirmation is that the four hour wolf pack id has crossed over the zero line and has changed color now the wolf pack id this is my secondary confirmation indicator okay i use this thing to keep me out of bad trades and it's not the same as the v-wap like a lot of people are saying

(10:29) it's not the same as the v-wap it looks very similar but a lot of times you will see like right here the v-wap crosses under the zero line but the wolf pack id is above the zero line okay they're not the same thing so you can get this indicator for free and marcus cipher just search for it up by indicators and after you get a trigger wave on the four hour you're going to make sure that the wolf pack id has crossed over the zero line let me zoom in here so that you guys can see clearly the wolf pack id has crossed over the

(11:01) zero line and has changed from red to green or in my case purple to blue so right here i see my green trigger wave is lined up perfectly with the wolf pack id is changed from red to green or purple to blue now that i have this on the four hour time frame i am going to start looking for an entry on the 24 minute time frame so you're going to find these confirmations in order in order you're going to do the four hour green dot the four hour wolf pack id once these two things happen you're going to say okay time to pull up my 24 minute chart so

(11:38) now on the 24 minute chart we're going to go back where was this this was um this was january 31st okay that was a great great trade so let's go back to january 31st on um 24-minute chart and we are going to look for three very specific things and we will not enter a trade unless these three specific things are met okay here we are this is this is our four hour trigger wave right here and if you look at my

screen you can see where my where my cursor is on both time frames at the same time by the vertical dotted line

(12:18) now that we have printed this confirmation on the four hour we're going to look for a confirmation on the 24 minute okay and what we're going to look for is we're going to look for an anchor wave on the 24 minute preferably something like this where we see these big green dots and the money flow is in the red and we've we've formed um you know we've formed this this clear bottom right here okay this is the first thing we're looking for we want to see the big green dots we want to see the wave coming below the negative 60 line

(12:53) and we we want to see the money flow in the red then what we're going to wait for before we even enter a trade is we are waiting for a trigger wave which would be a green dot that prints after this bottom right here and then we're waiting for the money flow index to cross into the green and then we are waiting for the wolfpack id to cross from the below the zero line to above the zero line and change from red to green now the first time that happens is right here okay this is the first time that all five of these confirmations are met

(13:29) right here so we would have entered our trade right here okay and whoops that's where we would have entered our trade now if we zoom out we can see that this this would have been a very good trade for us i mean we could have stayed in this trade pretty much the entire month of february and you know that's what that's what a lot of that's what a lot of people did i was in a trade a long position for pretty much the whole month of february and i also took a lot of other smaller trades this strategy can be used to make

(14:04) long-term trades that you're in for a number of weeks and it can be used to make shorter term trades that you're in for you know 12 hours this is this is not a scalping strategy in case you haven't noticed i'm sure you have so these are the five things that you're looking for okay i hope that makes sense now i want to answer some questions that a lot of people have been asking me let's talk about stop losses and take profit levels when it comes to stop losses and take profit levels i find it's best to set your stop loss

(14:38) under the last swing low and here's what i mean by that a swing low is basically the last low that the chart printed before you entered your trade so i entered a trade right here which means i would have put my stop loss all the way down here i would have given myself a lot of breathing room right because i'm entering a long-term trade and i know price is very volatile and i can see that the momentum is moving up and i'm very confident based on my confirmations that we we're going to move up but you know how

(15:13) the crypto markets are guys where we have these crazy wicks down and because i'm entering a long-term trade i want to give it some breathing room so i would actually put my stop-loss right here now this is this is a significant stop-loss guys this is a you know an 11 stop loss so if you're using leverage you need to make sure that you're not over leveraging yourself that you give yourself enough playing room if you plan to stay in this trade for a long time you know give yourself enough playing room now when it comes to take profit

(15:42) levels here's what i do guys i open up market cipher a and i turn on ribbon number five go to style make sure ribbon number five only is checked now what ribbon number five does and this is an amazing tool it's basically a 21 ema that's what it is it's a 21 exponential moving average which is giving us the average price of bitcoin for the last 21 for our candlesticks when this thing turns white that signifies that we have exited our bull tr our bear trend our downward trend and have entered

an upward trend it's a very bullish sign when the ema (16:26) ribbon 5 on market cipher a turns white another confirmation if you need another confirmation and have six confirmations you can make sure that the ema if you're looking for a long is white when you are entering along and gray when you are entering a short okay that's another great confirmation what i do every time we we print another swing low right so we had this elon musk he changed his twitter and then we came back down right we came back down but we printed a low that was still much higher than our last swing low

(17:00) so i would then move my stop loss underneath this previous swing low and every time we come back down and we print another low like right here right i would move my stop loss right here now something i will never do is move my stop loss above the 21 ema or ribbon 5 on market cipher and the reason for that is because this ema line is acting as a dynamic support and when i say a dynamic support for those who are unfamiliar with the terminology a support in trading is an area where price has trouble breaking down below think of it as a

(17:36) floor that keeps price from going below a certain level the reason it's dynamic is because it is moving along with the price and if we look at price as it moves up this uptrend every time it hits this 21 ema what does it do it bounces back up off of it so i just will keep moving my stop loss underneath the last swing low making sure it stays under that 21 ema and what's happening now is guys i've moved my stop loss into profit meaning i entered my trade right here i enter my trade right here and you know we'll talk about take profit

(18:12) later but originally my stop loss was down here under this swing low so originally i would have been at a 12 percent loss if i had lost this trade but now my stop loss has moved into profit which means even if this trade gets stopped out i'm still guaranteed to make eleven percent almost twelve percent profit even if the trade gets stopped out so this is how i deal with my stop-loss to make sure i don't lose my trade i constantly move that stop-loss upwards and then i would move it here and then i'll move it here and then i

(18:51) would move it here and eventually guys after this i moved it to right under here after this wick down and then i got stopped out right around this candle right here at about 52 000 now let's talk about taking profits and when to exit the trade the way i trade and this is just my style guys i'm not saying that this is the way to trade this is what i do i look at market cipher a and i like to take profits whenever we print some of these red diamonds okay if we print a red diamond i might take some profit out so if we enter a trade let's say we put

(19:30) a thousand dollars into a trade right right here where we entered um we print this red diamond here at 12 or we print this diamond here at 25 i might take 200 out of that trade right i take 200 out of that trade and then i'm moving my stop loss up so the whole way all the way up this trend i'm taking money out i'm securing my profits i'm moving my stop-loss to make sure that it's a risk-free trade and every time you hit one of these red diamonds just take a little bit of profit out just take a little bit out take a little

(20:03) bit out always leave some in there because we don't know how far this is going to go right this is uncharted territory these are all-time highs but just take a little profit out when i first started to learn how to trade it was all about setting targets and i quickly learned that setting targets is not a good way for me to trade because if my target doesn't get hit then i could end up taking what could have been an 800 dollar win into a 200 loss that's not the way i like to trade i like to secure my profit nobody ever went broke taking

(20:36) profit even if it's not the most you could have made in the trade it's still better than a loss so that's how i exit now i'm not just looking at these red diamonds guys i'm looking at market cipher b i'm looking at market cipher b as well if we start to print something you know like this let's be real here we kind of saw you know a little bearish divergence here right price kept going up and the momentum on market cipher b starting to come down so you know keep that in mind it doesn't mean that you need to run out of the

(21:12) trade you just look at market cipher b on different time frames take these things into account and if you do see this printing you know maybe you would have taken a little bit of profit on these diamonds and just let the rest run to see what would have happened i mean obviously we had another huge run up and then we had a very blatant bearish divergence right here where price you know went way up and very clearly you know right here we had this this massive take down on marcus heifer b before the drop um so if you see things starting to look

(21:45) bad on the four hour you know you can get out of the trade altogether now what are some things to look for when you're looking to get out of a trade well one thing is if we if we if this moving average turns gray from white you know okay it's really time to get out another thing is this when we're looking at market cipher b on multiple time frames you know obviously we're looking at the four hour and the 24 minute but if you see trigger waves starting to form lower on market cipher b like in all this time here we did not

(22:19) print a trigger wave below the zero line right this means there's tons of momentum moving upwards if you see that you know we're starting to print you know we're starting to curve down and this wave is coming down below the zero line after it hasn't for a number of weeks you know that's a sign that market cipher b is telling us the market is going to move down because remember it's it's giving us a visual it's giving us a great visual of how the market moves we can see it come up and then we can see it come down then we can see it come

(22:48) up then we can see it come down and it's a predictive thing look guys once it starts to curve down like this you know it's telling us to get out if we could have gotten out as soon as we saw it start to curve down and we could have saved ourselves you know a good old 18 percent if we you know if we listen to what marcus cipher b was telling us and you can do this on other time frames to do it on the 24 minute do it on even even the 15 minute i mean it depends on how much time you have but really i find it works great to just do this on

(23:20) the four hour and the 24 minute okay so that's take profit stop loss let's talk about this people ask me all the time do i need to wait for the four hour to confirm before i start looking for a 24 minute entry now guys there let me just say this okay there's the strategy right here these five confirmations if you're following the strategy exactly as it is laid out you you should wait for the four hour to confirm everything before you look for an entry on the 24 minute however i don't always do that i don't i'm going

(24:02) to be honest with you guys a lot of times if i see a trigger wave forming on the four hour even if we still have like you know two and a half hours left before the candle closes personally i oftentimes will start to look for an entry because i can tell that momentum is moving upward however i don't necessarily recommend that to people who are new because you want to make sure that you understand what you're looking for you want to make sure that you're confident that momentum is moving in your direction and if you do wait for

(24:33) the four hour to confirm especially if you're new you can be more certain that

momentum is moving in your favor okay i just want to make that very clear now people ask me uh jason cryptoface says you know we're looking too long when money flows in the red we're looking to short when money flow is in the green and yes but the key word is we are looking now i'm not putting words in crypto phase's mouth because personally this is how i interpret what he says when i see a red money flow index i am looking to enter along because i know as soon as (25:11) this money flow curves from the red to the green which happened right here as soon as this money flow index curved this is the point where we ended this long period of consolidation and and you know where price was trading sideways and slightly moving downward that's right where we ended that period and started this huge uptrend so i when i see money flow in the red i get excited because i know there's going to be an opportunity in the future to enter a really great long okay so i'm looking too long when money flow is in the red but i

(25:46) am longing when money flow is in the green another thing to keep in mind guys just because the money flows in the red does not mean we cannot long it also doesn't mean we cannot use this strategy you can do so many variations on this strategy for example today we printed an anchorwave we printed an anchorwave the wolfpack id was in the purple but if we come over to the 24 minute chart you know we we can see that we got a whole bunch of these nice anchor waves we had the money flow in the red and then we got this really

(26:21) nice trigger wave right here where money flow crossed over into the green and look you know we could have entered this really nice little little position right here right you could have also said okay we we got a we got a green anchor wave on the four hour and then we had a green anchor wave on the 24 minute and then another little trigger right here you could have entered here and made a nice you know 11 12 so there's a lot of variations this is why i encourage you guys not to just if you're new start out by doing exactly

(26:57) what this says once you get more experienced go and back test these things and start to tweak little things and say okay i'm gonna back test this strategy if i don't wait for the four hour to confirm it's kind of hard to do because you know it's hard to know when exactly the four hour confirmed in hindsight or test the strategy and say okay i'm gonna test this strategy if we just get an anchor wave on the four hour not a trigger wave i'm gonna test if we only print an anchorwave only and see what happens and go back

(27:28) and keep track of all the trades you would have made get a little notebook or spreadsheet and let's say you back test this for the last 25 times it happened the last 100 times it happened then calculate how many times would i have won how many times that i've lost if you would have won seven out of uh 10 trades then you know okay this strategy is going to win me seven out of ten trades that's that's pretty great isn't that let's talk about hiking and she candles versus regular candles hiking candles and regular candles

(28:03) will cause the market cipher beat to print signals at different times it will cause signals to print at different times if i turn on heightened sheet candles right here um it's kind of hard to tell actually what what happened but these green dots and red dots will move because of the hike and the sheet candles because this is calculating price in different ways kind of giving you an average so you can see the trend more clearly this is something that i encourage people to experiment with and back test but for me i find it to be best

(28:33) when i use regular candles on the 4-hour and hiking to chic handles on the 24-minute this is what i prefer to use i can't say that i've actually tested and seen a

difference in the profit i would have made i have not taken the time to do that the reason i prefer to use these types of candles is because i you know i come from studying technical analysis using regular candles and it really freaks me out to use the hiking sheet candles when i'm analyzing the four hour time frame i like to use the hiking sheet candles

(29:04) on the 24 minute time frame because it really helps me see the trend very well like right here we can tell with the hiking sheet candles when they start printing doji's and if somebody doesn't know what a doji is it means the candle has a very long wick like this and a very small body like this okay when hiking chic candles start printing these dojis that signifies an end or a change in the trend and so if we zoom in right here we can see okay we entered right here on this doji signifying the the changing of this downtrend

(29:38) into an uptrend and you know we could have exited up here when we when we saw these doji starting to form or this doji starting to form of course we would use other indications to exit i'm just giving you an example it helps me see the trend so i don't freak out if i see this giant purple candlestick coming down which can happen a lot if you're if you're using regular candles um you know and you're in a trade and all of a sudden you start seeing this purple candle come down you're gonna freak out you're like oh i better get

(30:06) out of here right you're printing a red dot on the market cipher b and you see this giant purple candle coming but if you put on the hiking of chic candles you don't see that you don't see that red candlestick you still know no it's okay we're still in an uptrend um is there anything else i want to talk about guys make sure to experiment and back test so this strategy that i just laid out for you it works in and of itself and i recommend it for people who are new because it has five things that you look for there's no second guessing there's

(30:40) no fomo entering or exiting you're like okay i know what i'm looking for all the pressure's off i'm not going to enter a trade unless these five things happen and it's nice to be able to have something like that as a starting point especially if you're new if you've been doing this for a while right and you're comfortable with swing trading and you have more knowledge of technical analysis right i mean really this is a great strategy to use but if you have some basic technical analysis skills it will allow you to enter more trades using

(31:10) variations of this you know back test experiment and back test this strategy right we could have made a really nice trade this morning right here uh entering on a on a trigger wave and also back here we could have made you know a nice trade uh entering on an anchor wave i'm sorry not a trigger wave and you know you can you can look to enter shorter term trades in here shorter longs and shorter shorts you know using variations of this same strategy but really this strategy right here is meant for longer term swing trades

(31:42) where you're in them for like at least 12 hours you know probably even a few days up to a few weeks in this bull market also guys the opposite of this strategy will work for shorting okay so if you see an anchor wave in the red on a red dot anchor wave and a um a red dot trigger wave you know and then you come over to market cipher b and and you see the wolf pack you see the wolf pack cross over into the purple and then you come to 24 minute chart and you see a red anchor wave a red trigger wave and the wolf pack crosses into the

(32:18) purple you know you could short that and just be careful guys shorting like i said you don't want to end up with your shorts around your ankles but you know and especially right here on the on the 24 minute when we had this when we had this i'm

sorry on the four hour when we had this trigger wave this red trigger wave the money flow was in the red the wolf pack id was in the red you know we could have entered right here and that would have been a nice short position okay and even still in that short position you we could see it clear

(32:49) the money flow index um on the 24 minute had had was crossing into the red we did have a slight you know downward momentum and then right here this red trigger wave would have been my entry signal to enter a short so i hope this makes sense guys again if you don't have market cipher you can click the link in the description of this video and guys if you are interested i am offering a trading course that goes over everything basically from a to z as far as trading goes um this is the the outline of the course i'm going to go over everything from if

(33:26) you've never looked at a trading chart before all the way up to showing you how to create your own successful strategy how i'm going to give you example strategies that you can use to start with we're going to talk about risk management we're going to go over everything you need to know to be a successful trader this is exclusively for 50 people it's going to be a small group where i'm going to have in the discord 50 people we're going to do an hour long session we're going to do half hour q a where you can actually talk to me

(33:55) and ask real questions in real time and i will answer um is basically you can email me for more information if you're interested in that but it's basically going to be 300 dollars of either bitcoin or cardano and if you is first come first serve so i still have about 30 slots open so far if you're interested in this it's going to be every monday tuesday and thursday from 2 p.m eastern time to 3 30 p.

(34:22) m eastern time what i need from you is i need you to send me um a payment and then i need you to send me your discord name so i can add you to the private discord group i'm really looking forward to this because i think you know it can help a lot of people especially who are new and you know if you're not interested in this you know don't worry oh here we are on the market cipher site don't worry because i'm going to be providing a lot of more free content on my channel a lot of technical analysis content i'm gonna be talking

(34:51) about my scalping strategy but i really wanted to make this video to help those who have questions so thank you guys and i'll see you in the next video